THE UNITED REPUBLIC OF TANZANIA

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

KIBAHA PRIVATE SECONDARY SCHOOL ASSOCIATION (KIPSSA)

FORM FOUR PRE-KIPSSA EXAMINATION

061 COMMERCE

Time: 3 Hours **2025**

Instructions

1. This paper consists of three sections A, B and C with a total of **Eleven (11)** questions.
2. Answer **All** questions in both sections A & B and **Two (2)** from section C.
3. Section A carries **Sixteen (16)** marks, section B carries **Fifty-Four (54)** marks and section C carries **Thirty (30)** marks.
4. All writing must be in **Black** or **Blue** ink.
5. Cellular phones and any unauthorized materials are **Not** allowed in the examination room.
6. Write your **Index Number** on every page of your answer sheets.

SECTION A (16 Marks)

Answer All Questions

1. For each of the items (i) to (x), choose the correct answer from among the given alternatives and writes its letter beside the item number in the answer sheets provided;
   (i) An entrepreneur has invested TZS 100 million in business as capital without fear and with hope and courage to succeed despite all possible challenges. Which function has been performed by him?
   A. Self-motivation.
   B. Risk bearing.
   C. Rewarding.
   D. Employing.
   E. Investing.

(ii) Suppose you have been employed in a Bonded Warehouse and one of the customers needs to collect his car from the warehouse. Which tax would you require the customer to pay before releasing the car?

A. property Tax

B. export tax

C. Excise duty

B. value added tax

E. custom duty

(iii)The following are examples of business gaps from competitors except;

A. Related business.

B. Delay of supplies.

C. Poor quality of goods.

D. Poor customer services.

E. Overpricing.

(iv) Nearly every journey involves Junctions, where we can transfer from one form of transport to another. In this case we are referring to.

A. The way

B. The unit of courage.

C. See the terminal,

D. The unit of propulsion

E. The power.

(v) Taxes are characterized by some key features differently from other payments including 'No Quid Pro-Quo'. What does this characteristic feature mean?

A. Without direct benefits.

B. Monetary terms.

C. To the government.

D. To all citizens.

E. With direct benefits.

(vi) The process of giving a particular name to A product is called

A. Pre-Packaging

B. Trade naming

C. Pre packing

D. Branding

E. Retailing

(vii) Seypalm is dealing with multiplication of animal and plant species. What kind of industry is he engaging in?

A. Extractive industry.

B. Genetic industry.

C. Analytic industry.

D. Synthetic industry.

E. Assembling industry.

(viii) Peter was complaining that he was one among the lower income earners, but his salary is always being Deducted more than that of higher income earners. Which method is used by his paying institution to make deductions from salaries.

A. Progressive taxation method.

B. In direct taxation method

C. Proportional.

D. Taxation method

E. Poor taxation method

(ix) The kind of preference share that pays all dividends including arrears of previous years is commonly known as;

A. Non-Cumulative Preference Shares.

B. Guaranteed Preference Shares.

C. Cumulative Preference Shares.

D. Participating Preference Shares.

E. Convertible Preference Shares.

(x) A certificate of incorporation is a document that:

A. Governs and regulates the relationship of company with Outsiders

B. Impower the company to get its business started.

C. Gives a company a legal existence

D. Stipulates rules and regulations of organization internally

E. Invites offers to the general public to subscribe for the shares of the company

2. Match the descriptions of incoterms in **Column A** with the appropriate incoterm in **Column B** by writing the letter of the correct terminology beside the item number in the answer sheets provided;

Column A	Column B
(i) The price charged to the buyer which includes all costs of carrying goods to the port of destination plus unloading charges. (ii) The price quoted to the buyer which includes all costs of goods as they leave the factory. (iii) The price quoted to the buyer which includes carriage charges to the dock, dock dues and handling but do not include loading charges. (iv) The price quoted to the buyer which include all charges incurred to bring the goods to the buyers' premises. (v) The price quoted to the buyer which includes carriage charges to the dock, dock handling charges and loading charges. (vi) The price charged does not include any cost of transportation from producer in abroad country to the buyer in another country.	A. Ex-works. B. Carr. pd. C. F.O.R. D. Loaded. E. F.A.S. F. In bond. G. F.O.B. H. Franco. I. Carr. fwd.

SECTION B (54 Marks)

Answer All Questions

3. Differentiate the following commercial terms:
   (a) Article of association and memorandum of association
   (b) Shares and Debentures
   (c) Element of commerce and element of trade.
   (d) E-commerce and M-Commerce

4. Assume you have been shortlisted in an interview with Mazembe Cargo a shipping company between Dubai and Tanzania. How would you explain the following to the interviewers and secure the competitive job opportunity?
   (a) Full Container Load (FCL).
   (b) Liners.
   (c) Tramps.
   (d) Charter Party.

(e) Dry Port.

5. Tanzania and Kenya are among the countries in east the African community. Recently there have been some limitations in trade imposed by one country to another. As an expert in International trade, state five (5) possible arguments for these trade limitations.

6. (a) Despite the fact that Video Conferencing is an expensive form of electronic communication, it is still useful in business communication. Describe three benefits of this form of communication.

   (b) Tanzania Communications Regulatory Authority is responsible for all communications matters. Support this statement by explaining three strong points of your choice.

7. (a) 'Communication is what communication does' Justify the validity of this statement by using four (4) points.

   (b) Why do people hold money? Explain three (3) points.

8. You have a Stock Administrator in one of your Public Warehouses. Some of his activities include Receiving and Storage of Goods. Propose three main tasks on each activity that you would use in assessing his performance.

SECTION C (30 MARKS)

Answer Two Questions

9. Mrs. Masumbuko prefers to use Cash With Order (CWO) from buyers as her term of payment. In six points, suggest the circumstances that made her to opt for such cash term of payment.

10. Mr Nziku, the owner of Palm departmental stores has always been insisting to his workers to be ethical at and out of the workplace. Why do you think Mr.Nziku insists on that issue? Give six (6) points.

11. The manufacturing firms having their own advertising departments still use advertising agencies. Give five reasons as to why they find advertising agencies to be useful.